

10 Processor Settlement Timing Notice

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Prepared by Fictional payment processor account team | Borrower: Duolingo Learning Services LLC

SYNTHETIC DEMO. All events, figures and confirmations below are invented. Duolingo Learning Services LLC has no asserted affiliation, financing or guarantee from Duolingo Inc.

Notice and availability

This report assembles the material terms of new fictional business confirmations received February 16-18, 2027. Available February 19, 2027 at 10 am New York time. The terms below concern Duolingo Learning Services LLC; the real public company is not a party. Copies of the confirmations are represented by their material terms and reference IDs in this report; no separate attachment is needed for this simulation.

Confirmed change

Processor notice DUO-PROC-0216, received February 16, changes settlement timing under the existing fictional processing arrangement. It schedules additional net settlement holdbacks of \$4.0m by March 5, another \$4.0m by March 12, \$2.0m by March 19 and \$2.0m by March 26. The \$12.0m total remains a processor settlement receivable and is contractually due for release on June 4. It is separate from the existing \$6.0m settlement receivable and \$4.0m restricted deposit. The amounts are after processing fees; there is no extra fee or duplicate expense.

Management's February 18 settlement schedule confirms that these receipts were included in report 09's forecast. The new holdback reduces cleared cash, without changing recognized revenue, paid-account counts or EBITDA. No customer cancellation or loss of the receivable is asserted. The additional receivable has not settled into the Borrower's bank account.

Operational context

The processor declined early release in its February 17 response. Management has already included the vendor credits, campaign cancellation and collection gains from report 09. There is no committed equity contribution, replacement facility or further executable cost reduction sufficient to fill this timing gap.

This notice concerns only the fictional processor arrangement. No change to subscription pricing, customer entitlements or service delivery is announced.

Information available at this date

This report establishes the changed dates and amounts, not future bank balances. The last finalized cash observation supplied in report 09 is January 31: freely available cash \$36.8048m, restricted deposits \$4.0000m and debt principal \$60.0000m. Subsequent collections, payments and month-end balances require treasury records. No later actual results are included here.